

Entrusting your money to anyone who is not a fiduciary is a recipe for excessive fees and poor performance.

Jason Zweig, the author of the article on the Rosenaus, is one of *The Wall Street Journal's* experts on investor behavior (he wrote the book *Your Money and Your Brain*²⁷⁹). He observed: “I think investors should welcome regulations that require advisers, brokers and insurance agents to act in their customers’ best interests.” The industry has vociferously argued against such standards, fearing they will negatively impact profits.

In an interview for a 2011 Harvard Business School profile, the Reimanns’ advisor Peter Harf said, “I’m not afraid of taking risks. I’m not afraid of losing. I’m not afraid of buying something.”

Only someone who is not a fiduciary would say something like that. If your charge is your clients’ best interest, you would be asking, “What is the least amount of risk and volatility my clients must endure to reach their financial goals?”

If you squint, perhaps you can see the difference...



Up next, we dive deeper into the risks of sudden windfalls...

²⁷⁷ The family would have done better if they’d put their wealth in a low-cost index fund. Devon Pendleton, Dasha Afanasieva, and Benjamin Stupples, “Secretive Dynasty Missed Out on Billions While Advisers Got Rich,” Bloomberg UK (August 13, 2024).

²⁷⁸ Jason Zweig, “A Couple Won the Powerball. Investing It Turned Into Tragedy,” *The Wall Street Journal* (July 12, 2024).

²⁷⁹

Jason Zweig, *Your Money and Your Brain: How the New Science of Neuroeconomics Can Help Make You Rich* (Simon & Schuster, 2007).